INTRODUCTION

In 1941, American Palestine Institute initiated a survey of the potentialities of economic development in Palestine. The Institute's research staff began its work by collecting, collating and analyzing published material dealing with the economy of Palestine and the Middle East. It was soon found that much of the original work theretofore done was fragmentary, leaving many gaps in basic data. It was evident, too, that political considerations had in many instances shaped the course of some of the investigations and had obviously colored their conclusions. To avoid a morass of political and emotional predilections and to obtain a comprehensive report, the Institute decided to retain one or more American economists who could, from their relatively detached position, make a survey and present a report whose findings and conclusions could be judged solely by the evidence presented.

After many months spent in searching for the proper person to head up the investigation, American Palestine Institute, in December 1943, retained Mr. Robert R. Nathan as a consulting economist to make a comprehensive and independent survey. Mr.Nathan and his colleagues, Oscar Gass and Daniel Creamer and their staff, carried on the work of the survey until October 1945 when they submitted their report which is set out in full in this book.

Mr. Nathan and his colleagues were not authorized to draw up a blueprint for Palestinian development or to draft operating plans. They were commissioned to address themselves to a general evaluation of the economic possibilities of Palestine in the next decade. Nor were they asked to deal with the refugee problem. The rapid transportation of a large number of displaced impoverished Jews, and the provisions for their housing and care, were problems outside the scope of the survey whose aim was to determine how many people could live in and could develop Palestine on a self-sustaining basis.

The report submitted by Messrs. Nathan, Gass and Creamer attempts to answer this basic question: What are the potentialities of economic development in Palestine during the next decade? We believe that the report will contribute to the clarification of a